

AI Is a Transition, Not a Terminal Event

Initiate at **Overweight** with a **\$230** 12-month price target. At \$179.03, Accenture is valued as an AI-disrupted mature cash generator despite rapid growth in advanced-AI activity, durable enterprise relationships and more than \$10bn of guided free cash flow. The central debate is whether Accenture can monetize outcomes rather than billable hours.

STOCK RATING	PRICE TARGET	REFERENCE PRICE
Overweight	\$230	\$179.03
IMPLIED UPSIDE		
28%		

WHAT'S CHANGED?

Coverage	– → Initiate
FY27E EPS	– → \$14.80
Base P/E	– → 15.5x

The valuation disconnect is the thesis. ACN trades at roughly 12.9x FY26E EPS and 12.1x FY27E EPS, well below its pre-de-rating five-year median forward P/E of 24.3x. This does not require a return to the old 20–25x range: our target uses a deliberately restrained 15.5x FY27E multiple.

AI will reduce labor hours, but not necessarily Accenture’s economic opportunity. Under time-and-materials billing, fewer engineering hours are plainly deflationary. Under fixed-price and outcome-based commercial models, Accenture can retain some of the productivity benefit while enterprises create additional demand for data modernization, integration, security, work-flow redesign and change management.

Operating evidence is firmer than the stock’s multiple implies. FY25 advanced-AI revenue reached \$2.7bn, triple FY24, with \$5.9bn of bookings. Q1 FY26 added \$1.1bn of advanced-AI revenue and \$2.2bn of bookings. Managed Services grew 5% in local currency in Q3 FY26, ahead of 1% Consulting growth, while adjusted operating margin expanded 20bp to 17%.

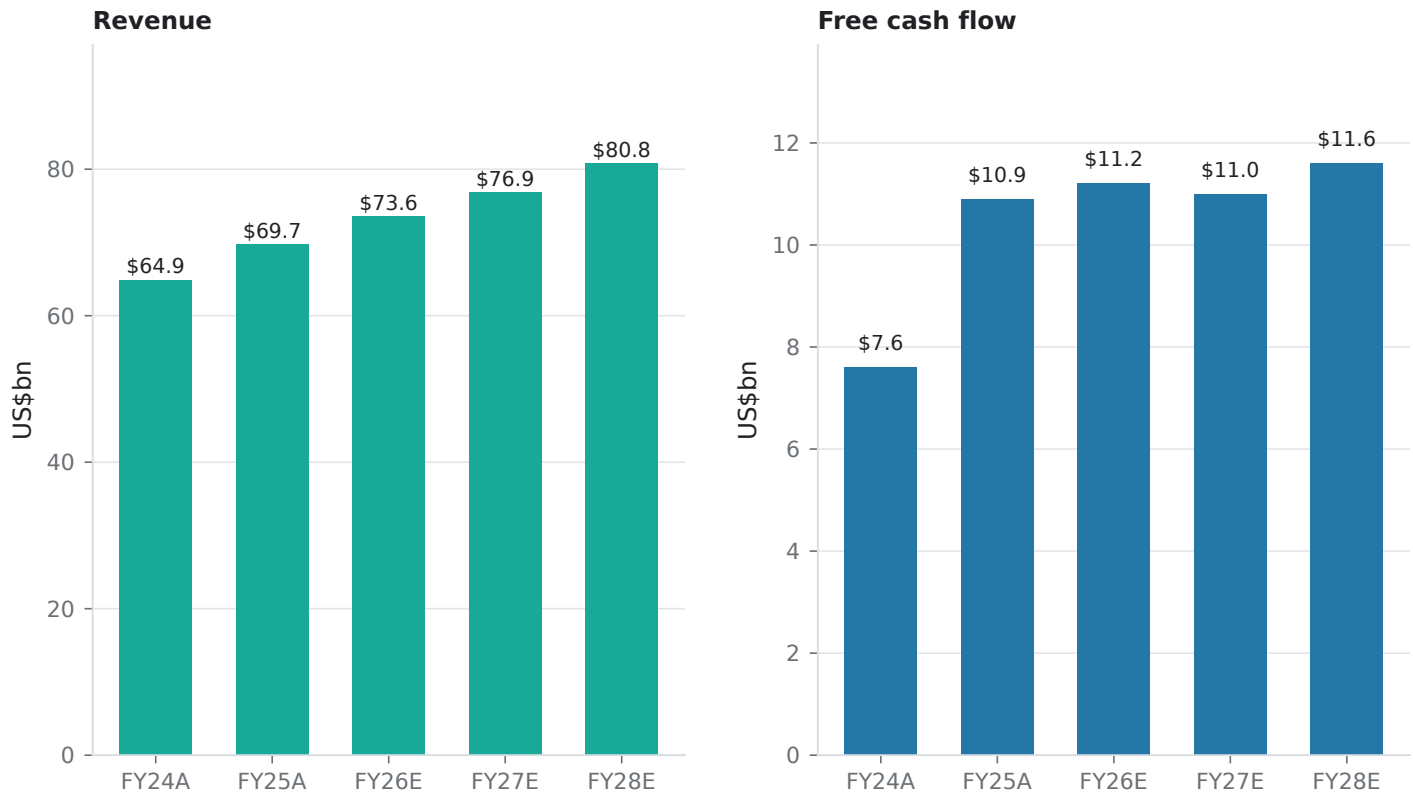
The hurdle is appropriately modest. We do not underwrite peak-multiple normalization. The base case only requires ACN to remain a low-to-mid-single-digit grower with stable-to-rising margins and strong cash conversion as the commercial model evolves.

INDEPENDENT RESEARCH	
Initiation of Coverage	
Prepared from the supplied initiation brief	
INVESTMENT HORIZON	
12–18 months	
Accenture plc (NYSE: ACN)	
STOCK RATING	Overweight
PRICE TARGET	\$230.00
REFERENCE PRICE	\$179.03
MARKET CAP	\$110bn
DIVIDEND YIELD	3.6%
FY26E P/E	12.9x
Key estimates	
FY26E REVENUE	\$73.6bn
FY27E REVENUE	\$76.9bn
FY26E EPS	\$13.84
FY27E EPS	\$14.80
FY26E FCF	\$11.2bn

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1 Investment Thesis and Operating Evidence

Exhibit : Revenue and free cash flow support a transition thesis rather than a terminal-decline thesis



Source: Accenture results and FY26 guidance as referenced in the supplied initiation brief; FY27E–FY28E are Independent Research estimates.

THE COUNTERINTUITIVE VALUATION POINT

ACN is not carrying an AI premium. The multiple implies substantial, lasting impairment to a business that generated about \$110bn of market value against FY26 guided free cash flow of \$10.8–11.5bn. A roughly 10% FY26 guided FCF yield provides support while the company proves its new commercial model.

WHY ACCENTURE IS DIFFERENTIATED

The company serves roughly 9,000 clients in more than 120 countries and employed approximately 799,000 people at Q3 FY26. Its relationships are entrenched: 195 of the top 200 clients have worked with Accenture for at least a decade. Sixty percent of FY25 revenue was associated with top technology ecosystem partners, where revenue grew 9%.

THE CRITICAL TRANSITION

The historical formula is billable professionals multiplied by utilization and realized revenue per hour. The emerging formula is client outcomes and transformation scope multiplied by Accenture's share of delivered productivity value. The latter model carries execution risk, but it also captures integration, governance and change-management work that a standalone model vendor cannot simply automate.

RED FLAG WHAT CAN BREAK THE THESIS If productivity is passed through to clients without offsetting project volume or margin retention, revenue per employee can fall faster than new transformation demand emerges. We would not pay a historical quality premium before management demonstrates durable non-FTE and outcome-based commercialization.

BUSINESS MIX

CONSULTING Q3 FY26	\$9.3bn
MANAGED SERVICES Q3 FY26	\$9.4bn
AMERICAS REVENUE	49%
EMEA REVENUE	37%
ASIA-PACIFIC REVENUE	14%

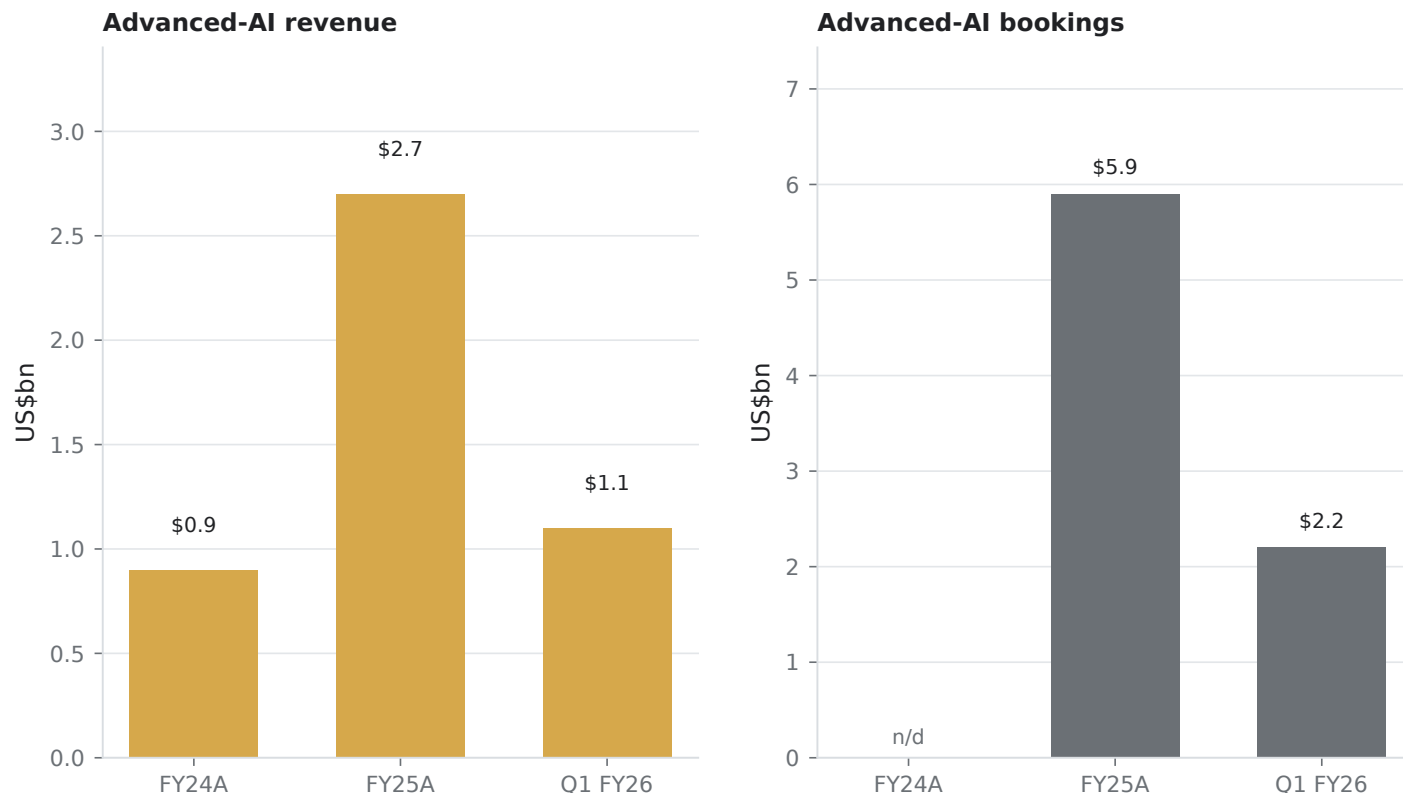
NEAR-TERM READ-THROUGH

Supportive: 5% local-currency Managed Services growth and 20bp Q3 margin expansion.

Concerning: Consulting grew only 1% in local currency; total Q3 bookings declined 3%; FY26 local-currency growth guidance narrowed to 3–4%.

2 AI: Demand Creation Versus Labor Deflation

Exhibit : Advanced-AI activity is scaling, though Q1 FY26 figures are not annualized



Source: Accenture results as referenced in the supplied initiation brief. FY24 revenue is inferred from FY25 revenue being described as triple FY24; n/d = not disclosed in the brief.

THREE OBSERVABLE FACTS TEMPER THE BEAR CASE

Demand creation: advanced-AI revenue was \$2.7bn in FY25 and bookings \$5.9bn; Q1 FY26 recorded another \$1.1bn of revenue and \$2.2bn of bookings.

Scope expansion: management says at least one in two advanced-AI projects creates a related data project, connecting AI adoption to adjacent cloud, data, cybersecurity and workflow work.

Enterprise adoption: 104 clients booked more than \$100m during the first nine months of FY26, 13% more than a year earlier. Management reported that clients were graduating from pilots into larger production programs, with another 100 clients starting advanced-AI projects by Q3.

WHAT INVESTORS SHOULD MONITOR

The operational question is not whether AI reduces coding hours—it will. The investable question is whether Accenture retains enough of the productivity surplus through commercial terms, greater scope and margin to offset lower hours. Evidence of growth in non-FTE arrangements, consulting conversion and consulting book-to-bill is therefore more valuable than another isolated AI pilot announcement.

CATALYSTS

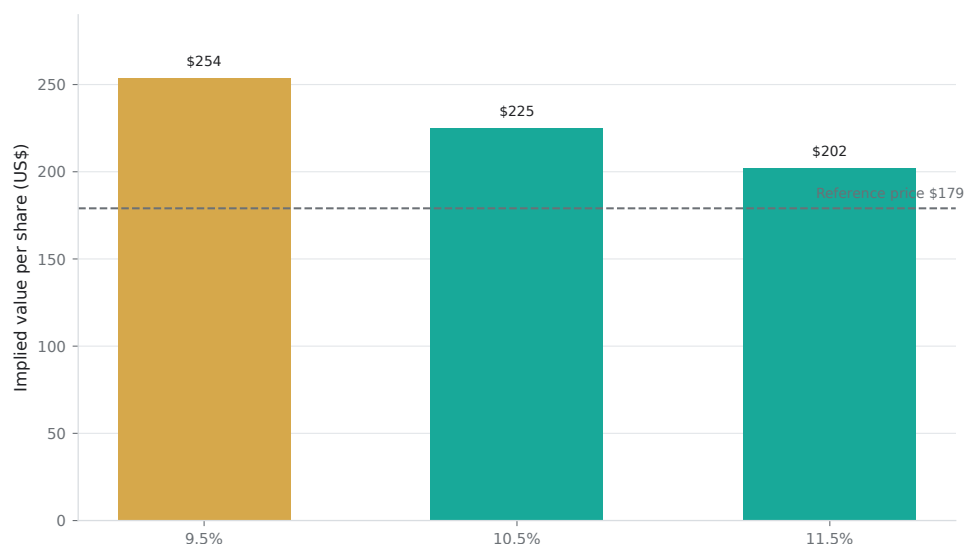
- Q4 FY26 earnings: 1 October.
- Investor Day: 14 October.
- Consulting stabilization and bookings conversion.
- Disclosure on outcome-based arrangements.

KEY FALSIFIER

Consulting book-to-bill was 1.1x. Sustained at or above 1.1x with improving revenue would reinforce the thesis; below 0.9x alongside falling margins would be an early warning that disruption is outpacing AI-created demand.

3 Valuation and Risk/Reward

Exhibit : A conservative DCF cross-check produces value above the reference price across the supplied WACC range



Source: Independent Research calculations from the supplied initiation brief. Normalized starting FCF: \$10bn; terminal growth: 2.0%; values rounded.

PRICE TARGET METHODOLOGY

Our \$230 target applies 15.5x to FY27E EPS of \$14.80, yielding approximately \$229 per share before rounding. The same target does not demand a return to the historical valuation range: it is only a partial normalization from about 12x FY27E earnings. A DCF based on normalized FCF of \$10bn, 4–5% medium-term growth, a 10.5% WACC and 2% terminal growth yields approximately \$225 per share.

WHAT THE MARKET IS PRICING

At around 12x FY27E EPS, the market appears to price a mix of organic growth falling toward 0–2%, most AI productivity flowing to customers, structural consulting deterioration, a growing dependence on acquisitions and the loss of ACN's historical quality premium. That outcome is plausible, but more pessimistic than present operating evidence supports.

Bull

\$285

FY27 revenue growth reaches 6–7%, adjusted EPS is about \$15.80 and an 18x multiple is warranted as enterprise deployments accelerate materially.

Base

\$230

FY27 revenue growth is about 4.5%, adjusted EPS is \$14.80 and a 15.5x multiple reflects gradual commercial-model success rather than peak valuation.

Bear

\$140

FY27 revenue growth slows to 1–2%, adjusted EPS is about \$14.00 and a 10x multiple reflects persistent AI deflation overwhelming new demand.

RISKS

- AI cannibalization and contract price step-downs.
- Organic growth disappointment masked by acquisitions.
- \$9bn FY26 planned M&A spending and ROIC risk.
- Competitive disintermediation by models, hyperscalers or AI-native firms.
- Macro pressure on discretionary IT spending.

VIEW CHANGE

Move toward Underweight if organic revenue turns negative despite rising enterprise AI spend, Consulting book-to-bill falls sustainably below 1.0x, margins contract, adjacent data/security work fails to appear, or acquisition-funded growth becomes necessary to keep revenue flat.

4 Financial Model and Valuation Framework

Exhibit : Base-case estimates assume modest growth, stable cash conversion and incremental margin retention

US\$bn except EPS	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	64.9	69.7	73.6	76.9	80.8
Revenue growth	1.2%	7.4%	5.6%	4.5%	5.0%
Adjusted operating margin	~15.5%	15.6%	15.8%	16.0%	16.2%
Adjusted EPS (US\$)	11.97	12.93	13.84	14.80	15.80
Free cash flow	7.6	~10.9	~11.2	~11.0	~11.6

Source: FY24–FY25 company data and FY26 guidance as referenced in the supplied initiation brief; FY27E–FY28E are Independent Research estimates.

Exhibit : P/E and DCF approaches converge near the \$225–230 base-case value range

Method / Scenario	Key assumption	Implied value	Reference price	Upside/(Downside)
P/E base case	15.5x FY27E EPS of \$14.80	\$230	\$179	28%
DCF base case	10.5% WACC / 2.0% terminal growth	\$225	\$179	26%
DCF upside	9.5% WACC / 2.0% terminal growth	\$254	\$179	42%
DCF downside	11.5% WACC / 2.0% terminal growth	\$202	\$179	13%
Bear case	10x FY27E EPS of \$14.0	\$140	\$179	(22%)
Bull case	18x FY27E EPS of \$15.8	\$285	\$179	59%

Source: Independent Research calculations from the supplied initiation brief. Values rounded; figures may not sum due to rounding.

Exhibit : Guidance and balance-sheet capacity support the base case, while elevated M&A is the key capital-allocation risk

Metric	Guidance / reported value	Investment read-through
FY26 local-currency revenue growth	3–4%	A low bar for near-term organic execution
FY26 adjusted operating margin	15.8%	Base case assumes gradual retention of AI delivery productivity
FY26 adjusted EPS	\$13.78–13.90	Consistent with the \$13.84 midpoint used in the model
FY26 free cash flow	\$10.8–11.5bn	Supports capital return and transition investment
Cash / debt at 31 May 2026	\$10.2bn / \$5.1bn	Meaningful balance-sheet capacity
FY26 planned acquisitions	\$9bn	Raises integration and ROIC risk; may require debt funding

Source: Accenture FY26 guidance and 31 May 2026 balance-sheet data as referenced in the supplied initiation brief.